Decentralization within states

The subsidiarity principle is the essential foundation for cities that have local political arrangements for local public goods. When we see the city governance of New York or London or Sydney, we see a large array of functions being placed at the city level, which are found in India at the Union or state governments.

The slogan of policy thinkers in this field is the need to place ‘funds, functions and functionaries’ at the local level. While a great deal of progress has been made in Indian tax policy, one pillar which has yet to fall into place is a foundation of tax revenues for cities. The logical place for this is to carve out a component of the GST associated with a place. The GST is based on a consumption principle. It is collected at the point of consumption. It is easy to count the GST associated with consumption in (say) Aurangabad. It would make sense to transfer a fraction of this GST revenue—attributable to consumption in Aurangabad—to the city government of Aurangabad.

State-level politicians, who preach the cause of greater autonomy from the Union government, need to consistently carry this through and devolve full powers to the city governments within their states.

The limits of decentralization

Greater decentralization is criticized on the grounds that there is low capability in many state and city governments. This is partly a consequence of our historical journey.

In an age where the Planning Commission and the Union government dominated decisions about (say) education in Maharashtra, this inevitably gave an atrophying of policy capabilities in Maharashtra. When policy thinking was centralized at the Union government, we got more field orientation at state and city governments. When the political/bureaucratic